

# Cashless Economy – A Move Towards Digital India

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## OBJECTIVES OF THE STUDY

The objectives of the study are the following :

1. To understand the concept of Cashless Economy.
2. Benefits and Disadvantages of Cashless Economy.
3. Avenues of Cashless/ Digital Economy
4. Challenges of India becoming a Cashless Economy.

## INTRODUCTION



Cashless economy is defined as a situation when there is nil cash flow in the economy and the transactions take place through electronic mode like Debit Card, Credit card, Unified Payments Interface (UPI), Immediate Payment Services (IMPS), National Electronic Funds Transfer (NEFT) etc. We can say that all the available Digital Payment Interfaces are the sources of new generation Barter System.

Cashless societies have predominantly been the part of our Indian history. Barter system means a system where the participants of the transaction exchange goods or services without any fixed medium of exchange which is common everywhere. For

example, a vendor sells rice of a certain quantity in exchange of wheat of the same equal quantity but this same may not be applicable with all the vendors.

The Government of India announced the Demonetization on 8<sup>th</sup> November, 2016 which indirectly made a big push towards online and card based transactions in the country. This helped gradually helped in becoming a Digital and a corrupt free economy which was envisioned by the Prime Minister of India- Mr. Narendra Modi. This led to growth and emergence of many e-payment companies in India. After this Unified Payments Interface (UPI) was launched to enable digital transactions.

Even Covid -19 Pandemic led to a shift from traditional economy into a cashless or cash-free economy. All small scale businesses are able to grow multifold due to non-interference of cash and no geographical barriers. This led to increase in tax revenue and also led to decrease in revenue and fiscal deficits of our economy. All cashless transactions are accountable and transparent in nature and nil involvement of manipulation and accumulation of black money.

We can surely conclude that cashless and digital economy will lead to improvement in the infrastructure, development and growth of our country.

## **RESEARCH METHODOLOGY**

- a) **Secondary Data** : Data is collected through the different source websites of the internet, books and newspapers and also all the graphical and diagrammatic presentations are presented to understand the real situation of cashless economy in India.
- b) **Primary Data** : A proper questionnaire was framed to understand the public's view on cashless economy and their view on challenges of India becoming a cashless economy.

## **ADVANTAGES OF CASHLESS/DIGITAL PAYMENTS**

### **1. Accountability**

Digital Payments and cashless transactions are not recorded manually so this process does not involve any manipulation. Cash transactions can always be manipulated and it also may lead forgery of transactions maintenance. This system brings transparency and also allows no clerical errors which can happen when the accounts and books are maintained by professionals.

## **2. Convenience**

Cashless payments are convenient in nature. It ensures manageable payments throughout the nation. People prefer National Electronic Funds Transfer for effortless transfer of money from one bank account to another. With the initiation of digitalization, transactions between the seller and buyer has become more honest and transparent.

## **3. Instant Reporting of Transactions**

Due to computerized accounting software, the process of maintaining accounts of transactions become faster. Statements and Reports of Receipts and Payments can be generated instantly at the click of button. Cashless or Digital Avenues have reduced the possibility of bad debts and ensured quick payments for the companies and this increased their profitability.

## **4. Reduction in Cash Crimes**

On 8<sup>th</sup> November, 2016, Demonetization was introduced to restrict the use of forged money. Digital Transactions will help in prohibition of flow of black money practices which can hamper the country's growth. The black money flow and illegal transactions are reduced when transparent digital transaction system is established.

## **5. International Banking**

Earlier it was very difficult to transfer money or funds from or to an international source. But now due to emergence of plastic money and net banking and government regulations of digital transactions have eased up the process of international transactions.

## **6. Reduction in Currency Circulation Cost of RBI**

Due to digital payments, cash circulation costs of RBI have gone significantly low. This has eased up the statutory burden of the Reserve Bank of India (RBI).

## **7. Reduced Tax Evasion**

Due to computerized accounting and digital transaction, there are reduced chances of tax evasion. This has brought accountability, transparency and accuracy of the statements. It is easy for the Government to verify the sources of income of the eligible taxable persons.

## **8. Reduction in Fixed Costs**

Private Banks and Government banks need to incur high fixed costs of maintenance of Automated Teller Machines (ATMs). Due to emergence of cashless society, the need for ATMs is.

## **9. Traceable and Secured**

Cashless Transactions are always available for the bank customers in their applications where all the net banking and UPI transactions are maintained and that too in a secured manner etc. (Password Protection, Face Detection)

### **DISADVANTAGES OF CASHLESS / DIGITAL PAYMENTS**

#### **1. Low Literacy Rate**

Due to low literacy rate, digital payments are not easy to adopt. For adaptation of digital currency or plastic cards, citizens of India need to be digitally literate. It is not an easy task for illiterate population to get well versed with cashless or digital avenues. People from underprivileged backgrounds may only rely on cash transactions because this underprivileged population suffers for basic necessity like clean water, sanitation facilities and health facilities etc. So learning a new technology may not be a priority for the underprivileged background people.

#### **2. Economic Disparity**

Suppose, the Indian economy goes cashless and there is no legal tender, so the people from poor section of society will only be negatively impacted. Digital money or plastic cards will only suffice if the person has a smartphone or a computer and also technical knowhow to manage accounts digitally which may not be an easy task for them to accept cashless avenues.

#### **3. Cyber Security**

Increasing reliance on the internet has made the digital transactions easy. However, there are many digital avenues which opened chances of many online frauds. There are no legitimate laws or steps to eliminate online frauds. One has to be digitally literate to prohibit online frauds. Risk of data theft that banking customers can face because hackers are experts in this case and it can lead to huge security breach.

#### **4. Overspends**

There is no prescribed limit meant for people who are highly dependent on digital avenues like UPI (Unified Payments Interface), Plastic cards (Debit Cards and Credit Cards) and Mobile Wallet etc. People who depend on cash only will always judiciously think on their consumer spending. But consumers will recklessly consume items which may not provide that utility. Cashless avenues increase public expenditures and decrease in savings.

## 5. Affordability

Digital infrastructure is not affordable for all the businesses. Small scale businesses may not be able to afford digital infrastructure. Completely digital India will affect the small scale businesses on cost basis.

## 6. Unacceptable charges while making a digital transaction

Payment Gateway companies for e.g. VISA, Paytm or other UPI applications charge a nominal amount of fees on a certain amount of transaction which might 0.3-0.5% of the total transaction as a surcharge. This amount of fees might not be accepted by the buyer who are already buying commodities exorbitantly.

## 7. Security of the Application

People wary about the security of the application. All the applications like Google Pay, Paytm and PhonePe are affiliated with the banks. When they were introduced in the market, the credibility of these applications.

## 8. Loss of Plastic Cards

There have been cases of loss of plastic cards. Misuse of the plastic cards can happen and all the banking information can be misused at any time and all the banking information can be hacked.

## CASHLESS PAYMENT AVENUES



### 1. Plastic Cards / Payment Cards

Plastic cards are issued by the banks or other financial institutions to the customers that enables cardholder (owner of the card) to utilize the funds from their respective bank accounts. Plastic cards are of two major types :

- a) **Debit Cards** : A debit card is a payment card which can be used for purchase of goods or availing the services in place of cash. It is also known as Check Card or Bank Card.

**b) Credit Card :** A credit card is a payment card that is issued to users (cardholders) to pay for merchant's goods and services based on the cardholder's accrued debts.

## 2. Unified Payments Interface

Unified Payments Interface (UPI) is an instant payment system developed in India by National Payments Corporation of India (NPCI). It is used in mobile devices to facilitate transfer of funds from one bank account to other.



## 3. E-Wallets

E-wallet is also known as Electronic Wallets. It is a prepaid account where people tend to keep balances in advance to facilitate future purchases of goods and services.



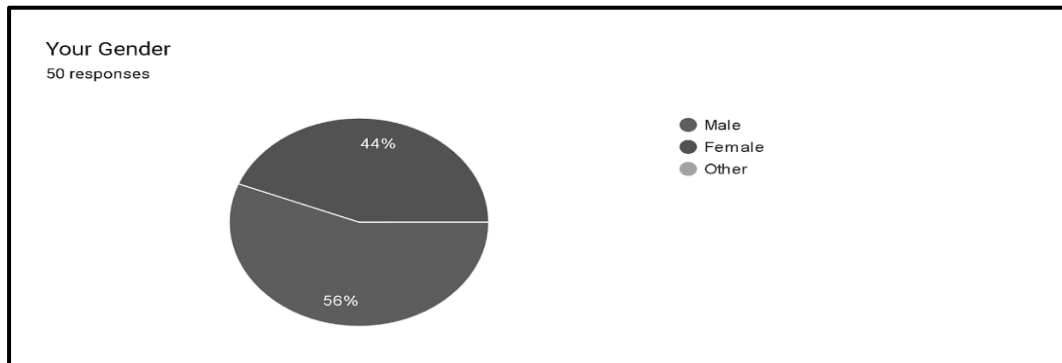
## 4. Online Banking

Online Banking or Net Banking or Internet Banking is a system that helps customers of a banks or financial institutions to perform a range of banking transactions like monitoring savings accounts or current accounts and understanding status of fixed and recurring deposits that customer owns through a special website or an application of the respective banks or financial institutions.



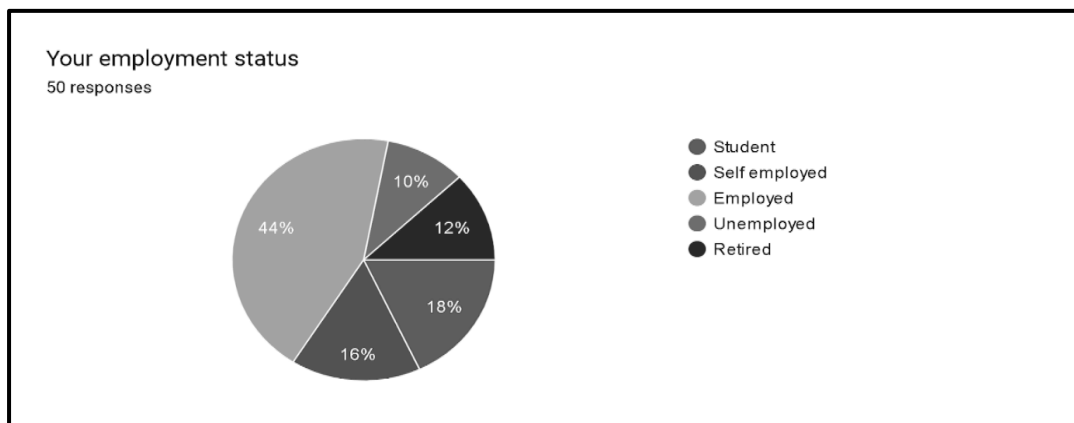
## DATA INTERPRETATION AND ANALYSIS

A questionnaire was prepared and 50 persons responded to the questionnaire. Overview of the questionnaire is given below :



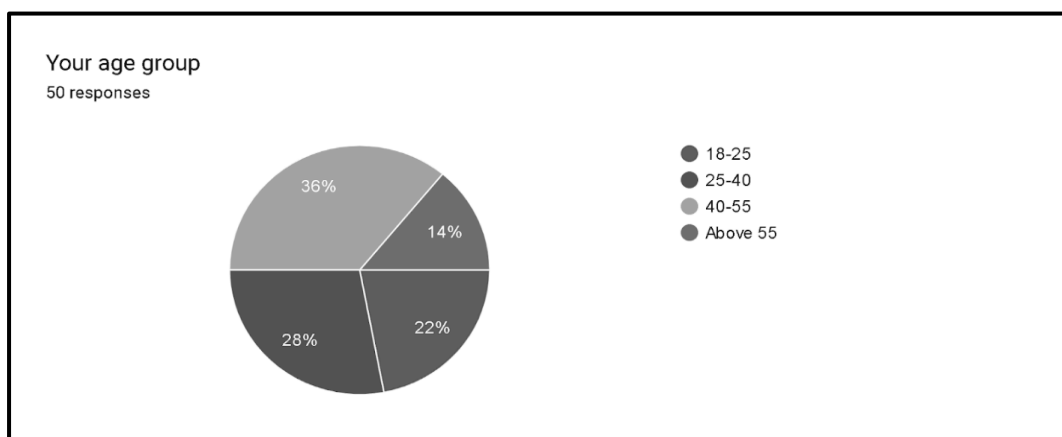
**Fig. No. 1 : Gender**

Out of 50 respondents, 28 respondents were male and 22 respondents were female respondents.



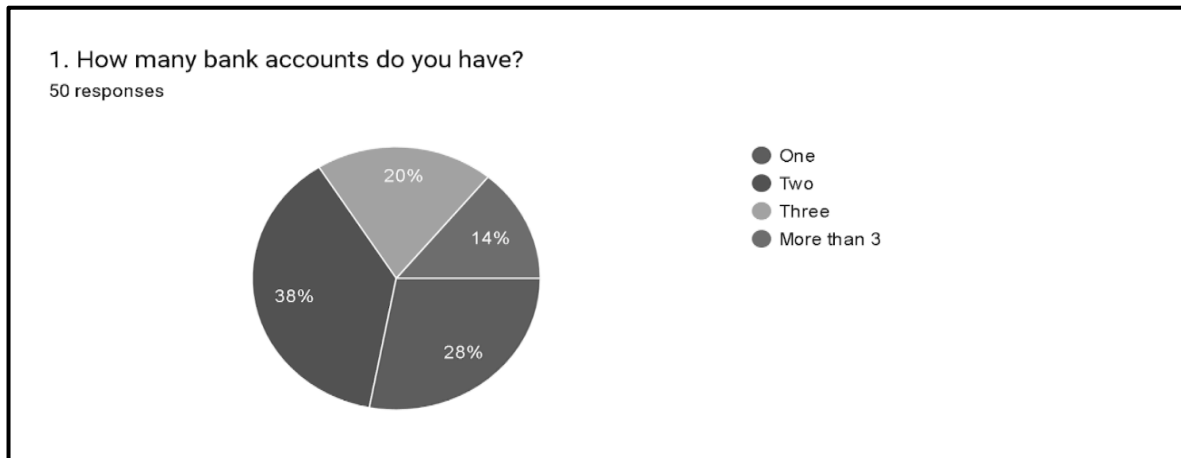
**Fig No. 2 : Employment-Status**

Out of 50 respondents, 22 respondents were employed, 9 respondents were students, 8 respondents were self employed, 5 respondents were unemployed and 6 respondents were retired.



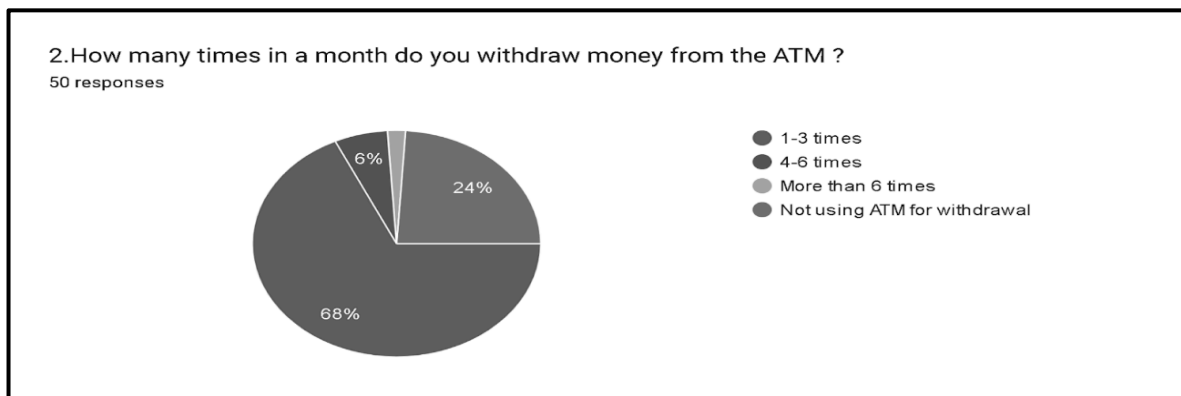
**Fig. No. 3 : Age-group**

Out of the 50 respondents, 18 respondents were from 40-55 age group; 14 respondents were from 25-40 age group; 11 respondents were from 18-25 age group; 7 respondents were from above 55 age group.



**Fig. No. 4 : How many bank accounts do you have?**

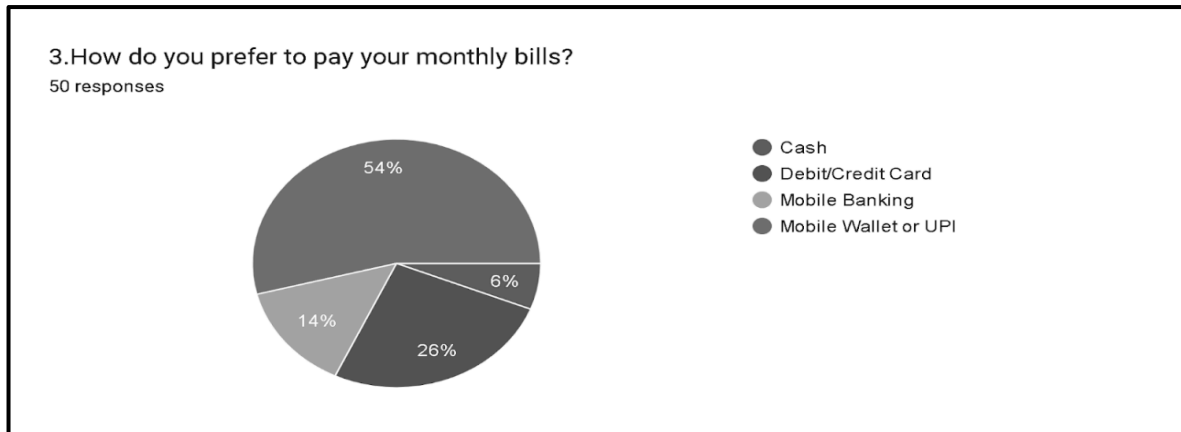
Out of the 50 respondents, 19 respondents have 2 bank accounts, 14 respondents have only 1 bank account, 10 respondents have 3 bank accounts and 7 respondents have more than 3 bank accounts.



**Fig. No. 5 : How many times do you withdraw money from ATM?**

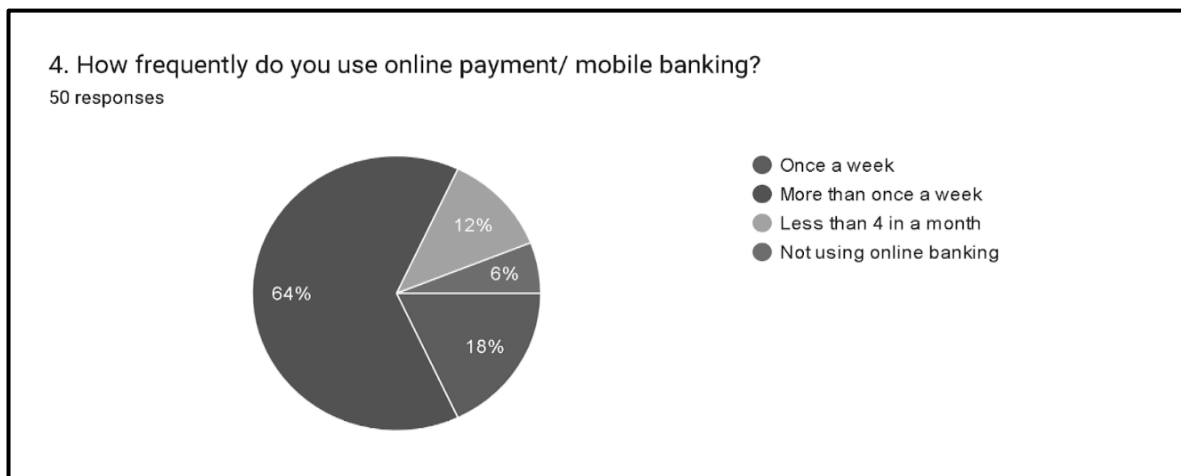
Out of 50 respondents; 34 respondents withdraw money 1-3 times in a month, 12 respondents do not use ATM for withdrawal, 3 respondents withdraw money 4-6 times in a month and only 1 respondent withdraws money from ATM for more than 6 times in a month.





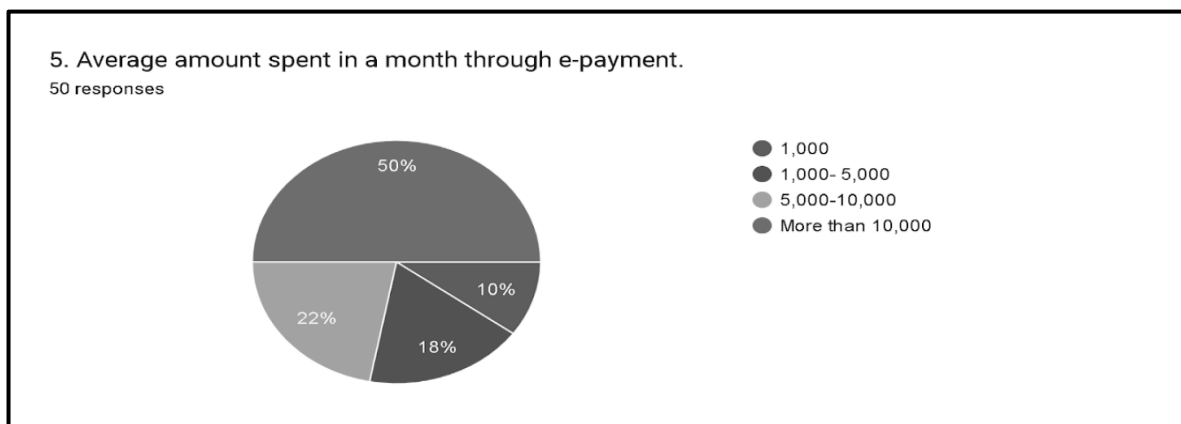
**Fig. No. 6 : How do you prefer to pay your monthly bills?**

Out of 50 respondents ; 27 respondents use Mobile Wallet or UPI for monthly payments, 13 respondents use Debit or Credit Card for monthly payments, 7 respondents use Mobile Banking for monthly payments and only 3 respondents use Cash for monthly bill payments.



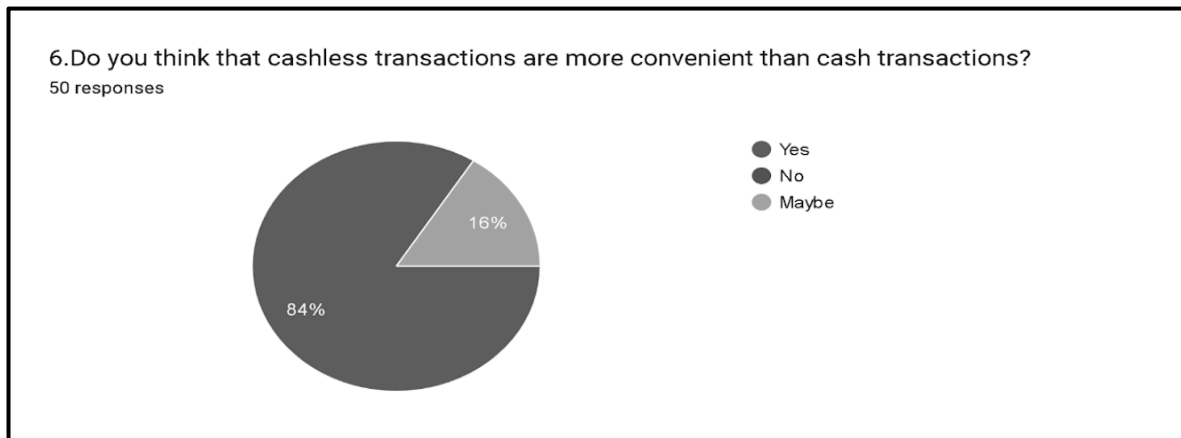
**Fig. No. 7 : How frequently do you use online payments/ online Banking?**

Out of 50 respondents ; 32 respondents use online payments more than once a week, 9 respondents use online payments, 6 respondents use online payments less than 4 times a month and only 3 respondents don't use online banking or online payments.



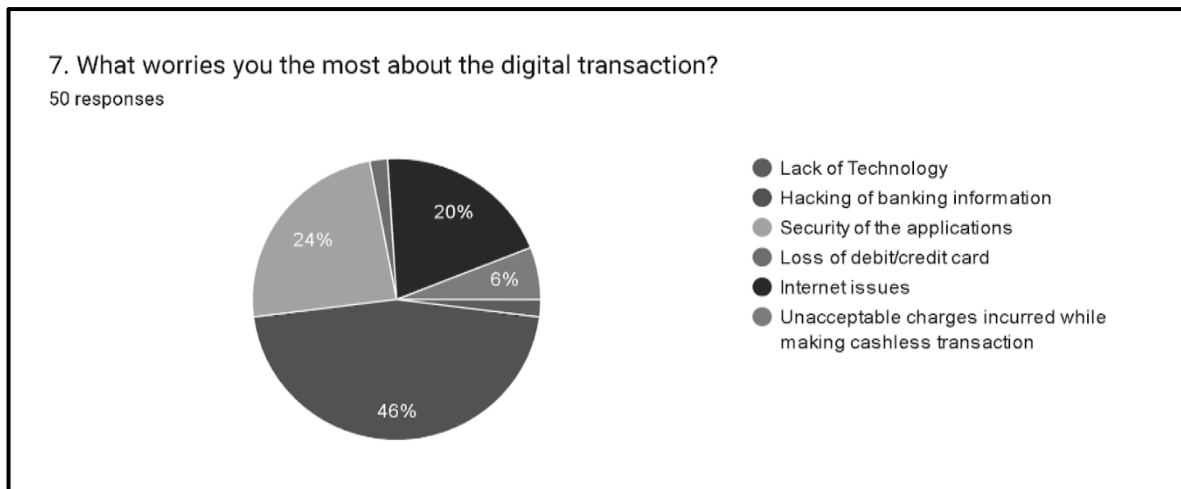
**Fig No. 8 : Average amount spent in a month through e-payment.**

Out of 50 respondents; 25 respondents spend more than 10,000 in a month online, 11 respondents spend 5,000-10,000 in a month online, 9 respondents spend 1,000-5,000 in a month online, 5 respondents spend upto ₹ 1000 in a month online.



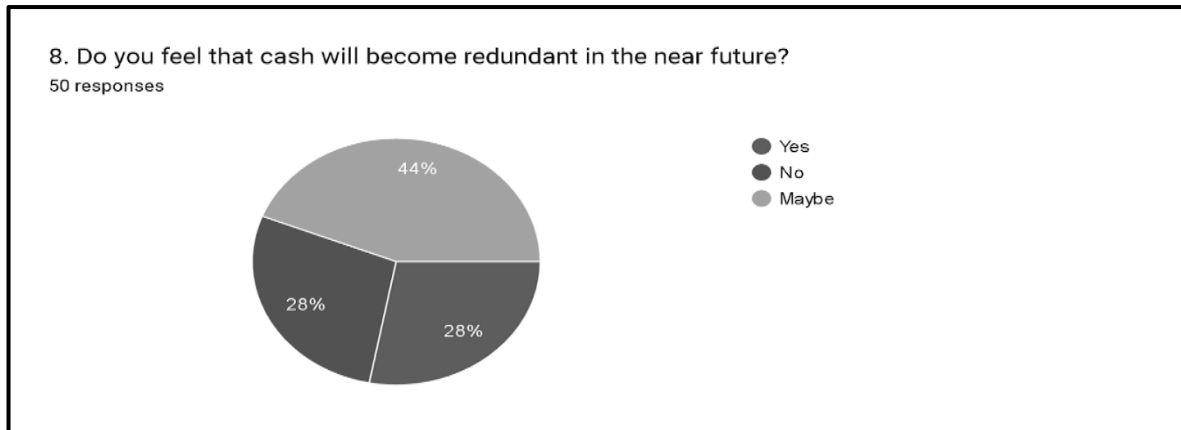
**Fig. No. 9 : Do you think that cashless transactions are more convenient than cash transactions?**

Out of 50 respondents, 42 respondents feel that cashless transactions are more convenient than cash transactions and 8 respondents are doubtful about the convenience of cashless transactions.



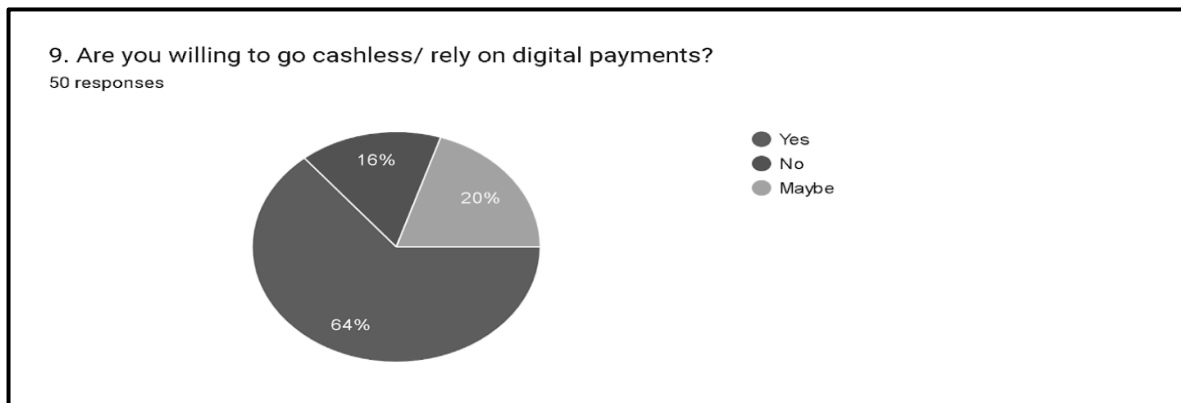
**Fig. No. 10 : What worries you the most about the cashless transaction?**

Out of 50 respondents, 23 respondents are worried about Hacking of Banking Transactions, 12 respondents are worried about the security of the application, 10 respondents are worried about internet issues and 3 respondents are worried about the unacceptable charges incurred while making a cashless transaction, 1 respondent feels worried about loss of debit or credit card and 1 respondent is worried about lack of technological knowledge.



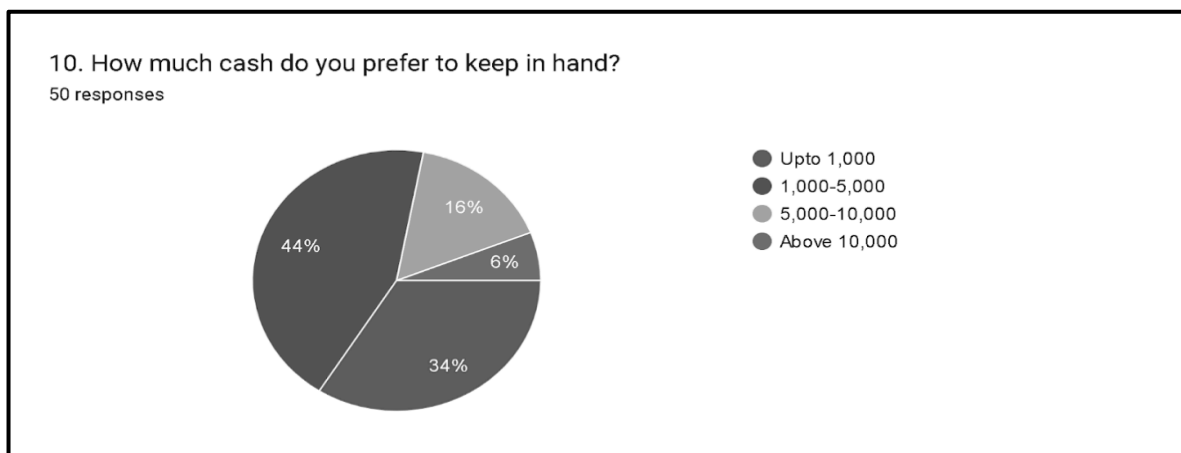
**Fig. No. 11 : Do you feel that cash will become redundant in the near future?**

Out of 50 respondents, 22 respondents are doubtful that cash will become redundant in the near future. 14 respondents feel that cash will become redundant and 14 respondents feel that cash will not become redundant.



**Fig. No. 12 : Are you willing to go cashless/ rely on digital payments?**

Out of 50 respondents, 32 respondents are willing to go cashless i.e. rely on digital payments, 8 respondents are not willing to go cashless and they will depend on cash and 10 respondents are doubtful about this.



**Fig. No. 13 : How much cash do you prefer to keep in hand?**

Out of 50 respondents, 22 respondents prefer to keep Rs.1000-5000 in hand, 17 respondents prefer to keep Rs.1000 in hand, 8 respondents prefer to keep ₹ 5000-10000 and 3 respondents prefer to keep more than ₹ 10000.

## **GOVERNMENT INITIATIVES TOWARDS A DIGITAL ECONOMY-**

### **1. Demonetization**

The government implemented Demonetization on 8<sup>th</sup> November, 2016 to stop the circulation of black money. This decision reduced availability of liquid cash in the economy. This made cashless payments like plastic cards, internet banking and Unified Payments Interface (UPI). This led to emergence of many electronic businesses and also boosted online sales of consumer oriented companies. This also led to introduction of new distribution system (D2C).

### **2. Pradhan Mantri Jan Dhan Yojana**

This initiative aimed at bringing financial inclusivity in India. Financial Inclusivity means that every household should be offered with all the banking services such as bank accounts, credit facilities, pension schemes etc.

### **3. Direct Benefit Transfer**

Direct Benefit Transfer (DBT) was introduced to provide financial aid to the beneficiary directly into the bank accounts. This includes LPG subsidies, pension schemes and also helping the rural population to move towards the digital banking system.

### **4. Aadhar Enabled Payment System**

This system involves Unique Identification Authority of India (UIDAI) number to allow seamless transfer of money from one bank to another.

### **5. Financial Literacy Centers**

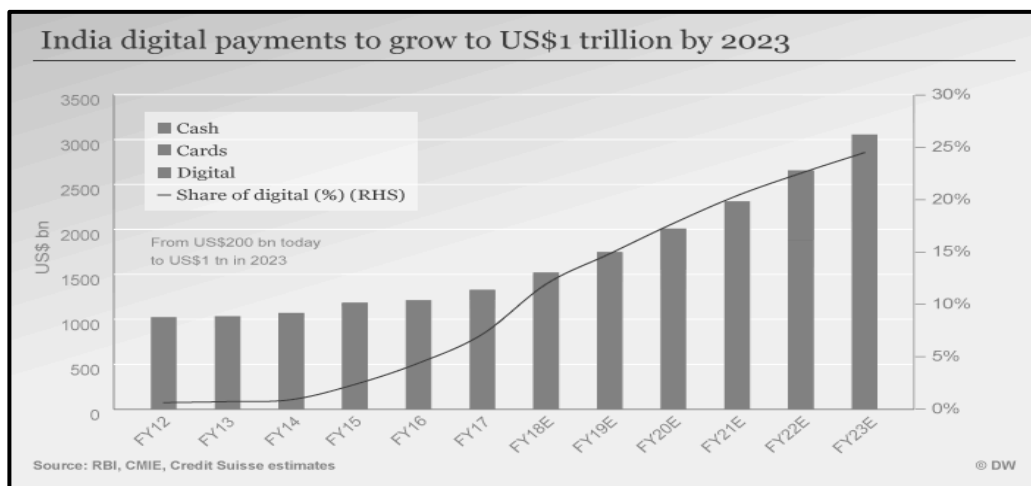
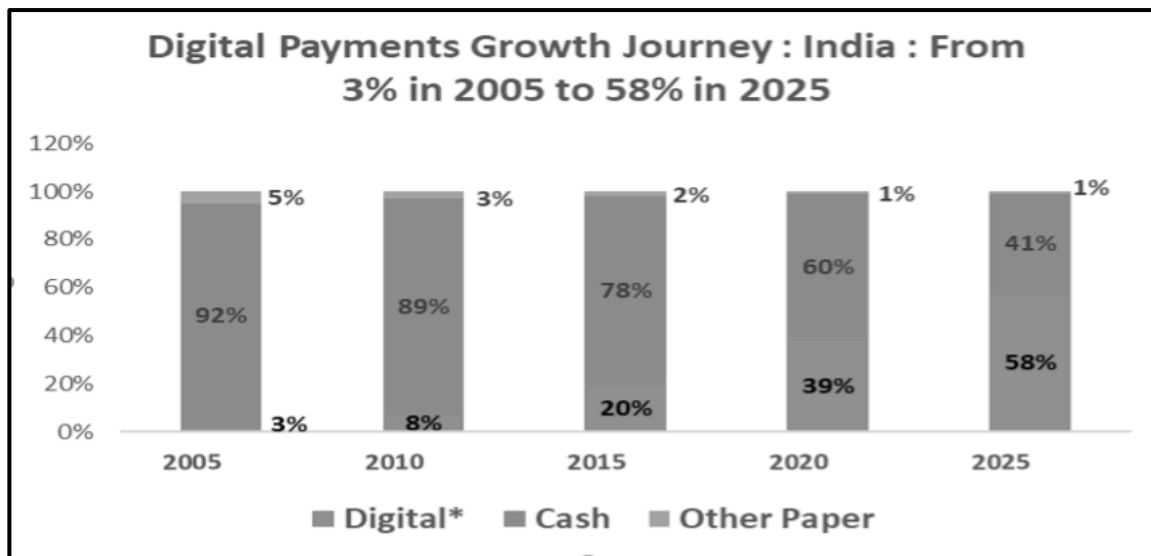
Government led centers conduct financial literacy which aimed to educate more people in the country regarding the benefits of cashless economy.

## **IS INDIA READY TO BECOME A CASHLESS OR DIGITAL ECONOMY?**

One of the barriers which can stop India from becoming a digital economy is Awareness. Government should adopt many other steps apart from literacy centers like sharing information about E-transactions and virtual currency.

There can be also steps taken to simplify and standardize online banking systems which can be accessible for all. As we have also understood from the survey taken from 50 respondents, some respondents say that the unacceptable charges are a major cause of worry for the people who will try to adopt digital currency or digital forms of

## **CURRENT SITUATION OF DIGITALIZATION**



## ABSTRACT

“No cash in hand may lead to no theft in the road.” It is a system where there is less or no involvement of cash between people and electronic payment gateways have replaced cash. It is important to note that electronic digital payments have led to improvement in the systems and also reduced the chances of corruption in financial matters of the country. Real cash is not accountable and transparent in nature which leads to manipulation of financial accounts in the economy. Now since cashless economy has become evident after the government’s move of Demonetization in November, 2016.

Cashless economy has many pros and cons and there are many modes of electronic transactions. Government envisions to convert India into a digital economy which would bring transparency, accountability and scalability. All the UPI transactions and Debit and Credit card facility are monitored by the Reserve Bank of India and all these apps have RBI affiliations so there is no question of security threats. Thus we can say that Digital

transactions have replaced the old system of maintaining personal accounts in a diary. The barrier of adoption of digital transactions is that the old –senior citizen section of society find it difficult to adapt with these digital transactions and they are sceptical enough as they feel that this system is unsecured system.

## **LITERATURE REVIEW**

United Kingdom and Sweden are two great examples of countries that have adopted the cashless or digital transactions more swiftly than any other economies. Cashless means disappearance of cash and dematerialisation of money. Cashless transactions are much better than cash transactions. It is because cashless transactions are scalable in nature i.e. large scale businesses will be able to manage their sales and maximise online sales. Government is able to monitor incomes of the business class groups and service class groups for tax compliance procedures.

There are generally four main stages that economies experience during transitions from cash payment dominance to noncash solutions. Thomas (2013) classified each stage as follows : inception, transitioning, tipping point, and advanced. The inception stage appears in developing economies, with cash-based payments accounting for more than ninety percent of the transactions. The second stage (transitioning) represents a mixed usage of paper and electronic payments occurring both in developing and developed countries; where in developing economies, cashless transactions are mainly driven by growing middle class transactions, while in developed countries, cashless transactions occur in response to cultural aspects. The tipping point stage arrives when non paper transactions account for twenty-nine to forty-five percent of all transactions. In the advanced stage along with developed infrastructure and a high financial inclusion level, individuals intensively accept and use the alternative method of payments.

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# **Digital Transformation : A Study on Digital payment Uptake Among College Students Across Mumbai City**

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## **ABSTRACT**

21st century is considered to be the fastest driving century in terms of technology. Due to this, individuals are becoming increasingly reliant on technology. The world is undergoing a major upheaval, with businesses moving their focus from traditional to digitalized method of operations. Online mode facilitates everything from purchasing airline tickets, booking of hotel rooms, buying groceries, paying bills, etc. The simplified and accessible methods of using the online payment method has made it a “go to option” in this digitalized era. Since, the current batches of undergraduate students would be at the helm of leading the world into a digitally revolutionized age, the researchers attempted to study where and how frequently college students utilize digital payment in the Mumbai region. It was discovered that the majority of the students made substantial use of digital payment methods in their daily lives. The paper also reveals that the majority of the students have been using digital mode since pre-covid days.

**Keywords :** *Digital payment, college students, digitalization, Mumbai region, pandemic.*

## **INTRODUCTION**

Digital payments, usually referred to as electronic payments, are transactions that take place digitally or online and entail no actual money exchange. This indicates that both parties are exchanging money using electronic means. Ten years ago, due to widespread mistrust of the electronic payment system, consumers preferred carrying physical money.